



ISA 315 (Revised)

IAASB Meeting – Agenda Item 6–A

New York, USA

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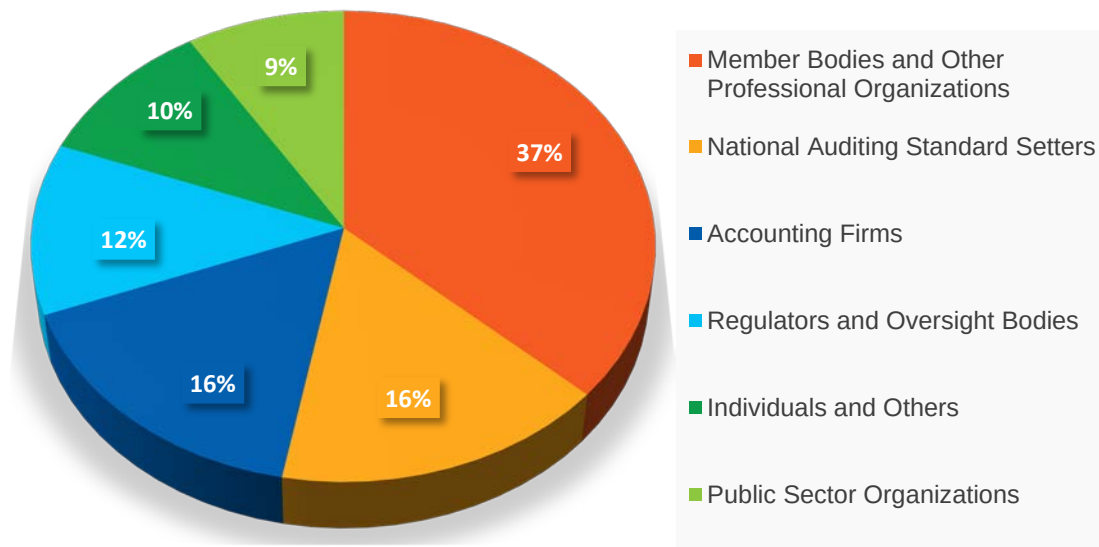
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Standards Board

ISA 315 (Revised) Exposure Draft

Respondents by type

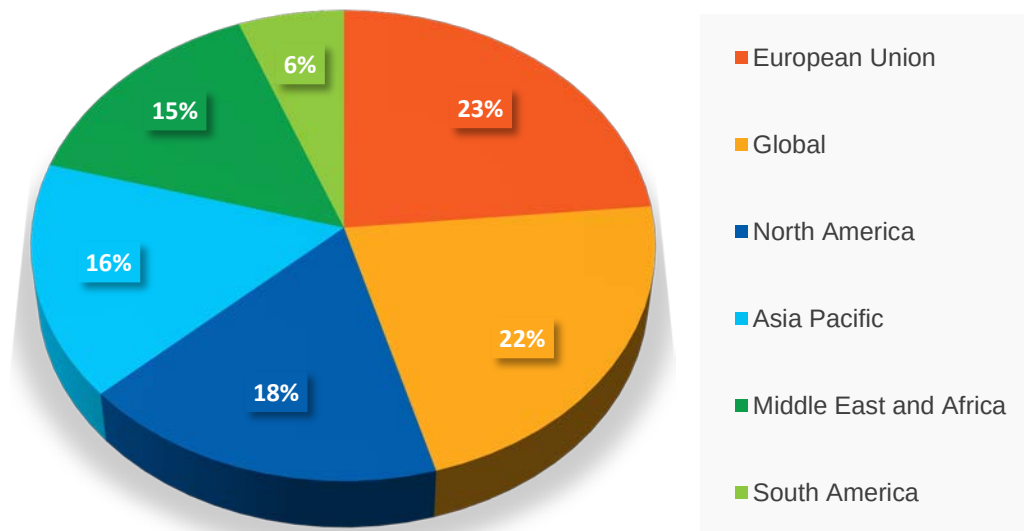
Total	68
Member Bodies and Other Professional Organizations	25
National Auditing Standard Setters	11
Accounting Firms	11
Regulators and Oversight Authorities	8
Individuals and Others	7
Public Sector Organizations	6



ISA 315 (Revised) Exposure Draft

Respondents by geographic location

Total	68
European Union	16
Global	15
North America	12
Asia Pacific	11
Middle East and Africa	10
South America	4



Overall Summary

- Broad concern about the complexity and length of the proposed standard; as well as scalability
- But support for many individual aspects of the enhanced requirements and application material, although mixed views about some of the changes proposed

High-Level Summary—Areas of Concern

- Complexity and understandability raised by a number of the respondents
- Mixed views on scalability, but many suggestions of areas for further consideration
 - Including examples of “scaling up” for audits of complex entities
- Some aspects of understanding the system of internal control
 - ‘obtaining an understanding’ vs ‘evaluating the design of controls and evaluating whether they have been implemented (D&I) ’
 - Work effort related to ‘controls’ in information system versus ‘controls’ in control activities

High-Level Summary—Areas of Concern

- Use of “Risks of Material Misstatement” and flow of standard
 - Interaction with ‘inherent risk’ and ‘control risk’
 - In some cases leads to circularity

High-Level Summary—Areas Supported

Broad support for many of the proposals, in particular:

- Flowcharts
- Introductory paragraphs
- Separate assessment of inherent risk and control risk
- Enhancements for IT considerations
 - Support for enhanced requirements
 - But not all application material necessarily in standard
- Automated tools and techniques
- Clarification of, and distinguishing between, direct and indirect controls

High-Level Summary—Areas Supported

Support (cont.)

- Inherent risk factors
- Spectrum of inherent risk
 - But more needed in standard?
- Significant classes of transactions, account balances and disclosures, and relevant assertions

High-Level Summary—Mixed Views

- Addition of obtaining ‘*sufficient appropriate audit evidence*’ as the basis for risk identification and assessment
- Various aspects of ‘controls relevant to the audit’ (e.g., specifying which controls are relevant to the audit; those that are designated in the auditor’s judgment)
- ‘Susceptibility to fraud’ as an inherent risk factor
- Enhancements made regarding financial statement level risks
- In definition of relevant assertion – where there is a ‘reasonable possibility of a misstatement’ and how it relates to a possibility that is ‘more than remote’ – view that these are not the same
- Definition of significant risk
- New stand-back and ISA 330 para 18
- Effective date after finalization of standard

Introductory Paragraphs

- Broadly supported; with some suggestions for changes

Task Force Views:

- Keep
- Work through suggested changes
- Look at specific issues that need to be better articulated in standard – e.g. spectrum of risk
- Making stronger link to what is in the standard (consistency in way matters articulated in introductory paragraphs)

Flowcharts

- Broad support for keeping the flowcharts– in particular as show iterative nature of standard
 - However was noted that the need for flowcharts shows that the standard is complex
- Mixed views about where the flowcharts should be presented (in standard or elsewhere?)

Task Force Views

- Agree to keep these as respondents found them helpful
- However, not enough support for including in standard – to consider where these can be presented (e.g., non-authoritative guidance; website)
- Specific matters to be clarified or added

Complexity and Length of Standard

Task Force Views

- Task Force to reconsider the application material
 - Long sentences and paragraphs
 - Use of language that is more understandable – consider technical way some requirements described
 - What can be moved to Appendix / non-authoritative guidance
 - Possible Q&A's to help clarify intent
- Consider guidance to explain WHY doing various aspects – make the links to why certain procedures are required
 - Understanding the components of internal control
 - Understanding the entity

Scalability

Task Force Views

- For all areas where we do have scalability for 'simple' adding in the more complex examples to help emphasize the scalability on both sides
- Consider whether want to revert to separate paragraphs for scalability, or consider how this can be better 'signposted' in the standard
- Reconsider documentation requirements

Sufficient Appropriate Audit Evidence

- Mixed views from respondents

Task Force Views

- Relook at revising to rearticulate the concept
 - Without referring to sufficient appropriate audit evidence but making clear that audit evidence is obtained through risk assessment procedures to provide an appropriate basis for the risk assessment

Information Technology

- Respondents broadly supportive of the enhancements to reflect the auditor's considerations relating to IT
 - Various suggestions for further changes
- Questions about whether all the supporting guidance needed in the standard

Task Force Views

- Further consideration given to the clarifications and other changes suggested
- Further consideration whether some of the guidance can be moved to an Appendix to ISA 315 (Revised)

Automated Tools and Techniques

- Broad support for enhancements
 - Further suggestions related to matters outside scope of this project (i.e., related to evidence / ISA 500)
 - Limited suggestions to require use of DA

Task Force Views:

- Consider suggested clarifications
 - Clarify that usage automates risk assessment procedures, not supplemental
- Not sufficient support for requiring use of DA (not all auditors would use DA)
- Coordinate with Data Analytics Working Group in relation to responses relating to 'non-ISA 315 aspects'; also a possible FAQ:
 - How to use DA when performing risk assessment procedures (current example);
 - Clarifying in relation to current standards (ISA 330 and ISA 500) (i.e., what is a risk assessment procedure and when it becomes a further audit procedure)

Professional Skepticism

- Largely supportive
 - Various other suggestions for enhancements
- Observations that automated tools and techniques better facilitate professional skepticism – enhance understanding of information

Task Force Views

- Will further consider suggestions for other areas where enhancements can be made
 - Including similar to paragraph 17 of ISA 540 to consider different sources of evidence for contradictory information
- Further consider how can guide documentation

Components of Internal Control

- Broad support for distinguishing indirect and direct controls
- Still various areas where further clarification sought
 - In particular distinguishing the “information system component” from the “control activities component”
- Further consideration needed about what is ‘controls relevant to the audit’ and related work effort
- Various concerns raised regarding specific ‘controls relevant to the audit (e.g., those designated that are in the auditor’s judgment; journal entries)

Task Force Views

- Clarify how control activities are different from the other components, in particular the information system – retain the five components but explain better
- Clarify concept of information system controls relevant to financial reporting
- Further consider ‘controls relevant to the audit’ and how the requirements are structured

Separate Inherent and Control Risk Assessment

- Significant support for the separate assessments
- Some confusion noted about how the separate assessments are related to identified and assessed risks of material misstatement

Task Force Views:

- Leave as separate but further consideration related to how each of these assessments is articulated in the standard
- Clarify how separate assessments are related to identified and assessed risks of material misstatement

Inherent Risk Factors (IRFs)

- Broadly supported by respondents
- Further clarification needed regarding interaction between the IRFs
- Mixed views about including 'quantitative' aspects
- Concern expressed by various respondents about 'susceptibility to fraud' as an IRF
 - Various suggestions about how fraud could be presented in ISA 315 (Revised)
- Limited suggestions to require determination of IRF's in risk assessment process

Task Force Views:

- Initial thinking is no specific requirement for determining IRF's
- Further consideration needed about how fraud is addressed in ISA 315 (Revised), including whether to keep as an inherent risk factor
 - Possible FAQ to identify factors that drive fraud characteristics (i.e., behavioral aspects) to support susceptibility to fraud as an IRF (if keep)
- Clarify various aspects relating to IRF's and how they interact

Financial Statement Risks

- Broadly supportive of new material explaining financial statement risks
 - More guidance needed about how impacts assertion level
- Further clarification needed about interaction between financial statement level risks and indirect controls
- Some comments that additional guidance adds complexity to the standard

Task Force Views:

- Task Force to further consider areas of further clarification

Identifying and Assessing Risks of Material Misstatement

- Suggestions for clarifications related to the spectrum of inherent risk
 - Further explaining the spectrum of inherent risk within the standard – more than in the introductory paragraphs
 - Further questions about spectrum of inherent risk and significant risk (do you need both?)
 - Articulation of where a risk may fall on the spectrum of inherent risk (i.e., where a risk ‘exists’)
 - ‘close to the upper end’ needs further clarification
- Generally supportive of retaining concept of significant risk – drives consistency of identification of significant risks
 - On balance though should be those misstatements where magnitude AND likelihood is very high
- Various aspects of significant risks need to be clarified
 - For example are there situations where there would not be a significant risk
- Views that ‘reasonable possibility’ is not the same as ‘more than remote’ in definition of relevant assertion

Task Force Views:

- Task Force to further consider areas of further clarification

Assessing Control Risk

- Concern about assessing control risk based on D&I
- Concern about presumed expectation of control risk at maximum unless intend to test operating effectiveness of controls

Task Force Views

- Clarify aspects of control risk assessment based on areas of concern noted
 - D&I and how it impacts control risk assessment
 - Including further clarification about 'expected' operating effectiveness of controls to reduce control risk from maximum (and make link to testing controls in ISA 330 to confirm initial expectation)
- Q&A to clarify various aspects

Stand-Back & ISA 330 Para.18

- Mixed views
 - Support for keeping both, as well as one or the other
 - Questions whether need either if do robust risk assessment
- Some comments about introduction of ‘qualitatively material’ to ISA 330.18

Task Force Views

- On balance keep both
- Some clarifications needed
 - Some confusion – may need a decision tree
- If 330.18 retained need to delete qualitative but add to application material to make clear that both quantitative and qualitative

Other

- *Translations*
 - Length and complexity will make it difficult to translate
 - Comments about specific terminology:
 - Terminology not consistent with other ISAs - nuanced distinctions, new terms, spectrum of risk, more than remote, close to the upper end, stand-back, certain sentence structures – can be challenging when translating
- *Effective date*
 - Mixed views, not shorter than 18 months but various comments that should be longer, i.e., 24 months





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